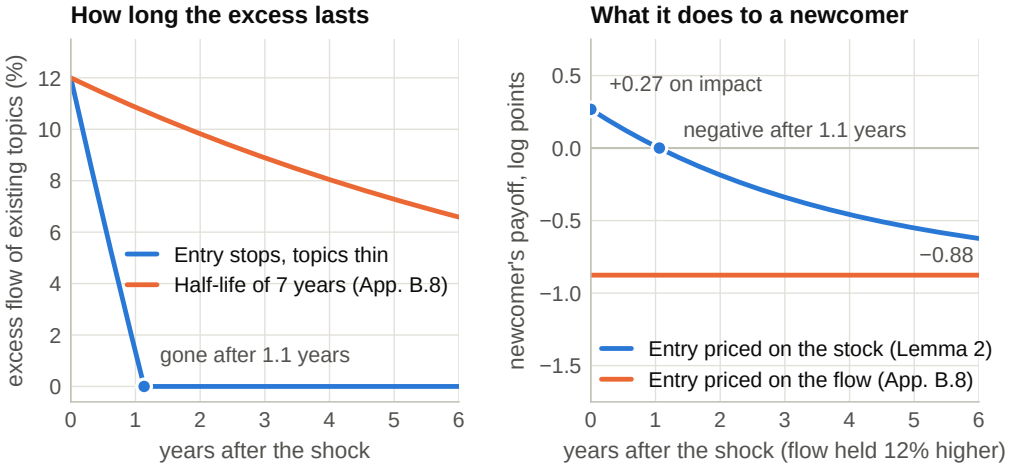
How long the excess lasts
excess flow of existing topics (%)
12
10
8
6
4
2
0
0
1
2
3
4
5
6
years after the shock
Entry stops, topics thin
Half-life of 7 years (App. B.8)
gone after 1.1 years
What it does to a newcomer
newcomer's payoff, log points
0.5
0.0
−0.5
−1.0
−1.5
+0.27 on impact
negative after 1.1 years
−0.88
Entry priced on the stock (Lemma 2)
Entry priced on the flow (App. B.8)
years after the shock (flow held 12% higher)